(14) Income Taxes

Income (loss) before income taxes and minority interests consisted of the following:

	Year Ended December 31, 2003	Year Ended December 31, 2002	Nine Months Ended December 31, 2001
		(Dollars in thousands)	
U.S.	$ 1,734	$ 75,684	$ (9,921)
Non U.S.	(4,915)	3,120	293
Total	$ (3,181)	$ 78,804	$ (9,628)

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Total income tax benefit consisted of the following:

	Year Ended December 31, 2003	Year Ended December 31, 2002	Nine Months Ended December 31, 2001
		(Dollars in thousands)	
Current:			
U.S. federal	$ —	$ —	$ 313
Non U.S.	251	1,066	—
State	300	250	250
Total current	551	1,316	563
Deferred:			
U.S. federal	(46,231)	(37,847)	(6,775)
Non U.S.	—	12	—
State	(2,028)	(3,488)	(981)
Total deferred	(48,259)	(41,323)	(7,756)
Total benefit	$ (47,708)	$ (40,007)	$ (7,193)

The income tax rate differed from the U.S. federal statutory rate as follows:

	Year Ended December 31, 2003	Year Ended December 31, 2002	Nine Months Ended December 31, 2001
		(Dollars in thousands)	
Federal statutory rate	$ (1,113)	$ 27,581	$ (3,370)
Depletion	(34,436)	(38,136)	(19,769)
Foreign earnings and disposition gains	(965)	(14)	103
State income taxes, net of U.S. federal tax benefit	(1,834)	(3,325)	(2,402)
Changes in valuation allowance	(230)	(26,865)	8,744
Changes in tax reserves	(10,000)	—	—
Other, net	870	752	9,501
Total	$ (47,708)	$ (40,007)	$ (7,193)

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NOTES TO CONSOLIDATED FINANCIAL STATEMENTS — (Continued)

The tax effects of temporary differences that give rise to significant portions of the deferred tax assets and liabilities consisted of the following:

	December 31,	
	2003	2002
	(Dollars in thousands)	
Deferred tax assets:		
Accrued reclamation and mine closing liabilities	$ 43,955	$ 72,043
Accrued long-term workers' compensation liabilities	98,951	101,814
Postretirement benefit obligations	416,639	411,450
Intangible tax asset and purchased contract rights	59,566	65,850
Tax credits and loss carryforwards	324,199	270,585
Obligation to industry fund	18,032	24,015
Additional minimum pension liability	52,566	52,703
Others	96,206	96,957
Total gross deferred tax assets	1,110,114	1,095,417
Deferred tax liabilities:		
Property, plant, equipment and mine development, leased coal interests and advance royalties, principally due to differences in depreciation, depletion and asset writedowns	1,153,922	1,196,256
Long-term debt	4,201	5,974
Others	201,272	212,510
Total gross deferred tax liabilities	1,359,395	1,414,740
Valuation allowance	(169,396)	(169,626)
Net deferred tax liability	$ (418,677)	$ (488,949)
Deferred taxes consisted of the following:		
Current deferred income taxes	$ 15,749	$ 10,361
Noncurrent deferred income taxes	(434,426)	(499,310)
Net deferred tax liability	$ (418,677)	$ (488,949)

The Company's deferred tax assets include alternative minimum tax ("AMT") credits of $51.2 million and net operating loss ("NOL") carryforwards of $273.0 million as of December 31, 2003. The AMT credits have no expiration date and the NOL carryforwards begin to expire beginning in the year 2019. Utilization of the majority of these AMT credits and NOL carryforwards is subject to various limitations because of previous changes in ownership (as defined in the Internal Revenue Code) of the Company and ultimate realization could be negatively impacted by market conditions and other variables not known or anticipated at this time. The AMT credits and NOL carryforwards are offset by a valuation allowance of $169.4 million.

The total amount of undistributed earnings of foreign subsidiaries for income tax purposes was approximately $2.2 million and $2.6 million at December 31, 2003 and 2002, respectively. It is the Company's intention to reinvest undistributed earnings of its foreign subsidiaries and thereby indefinitely postpone their remittance. Accordingly, no provision has been made for foreign withholding taxes or U.S. income taxes that may become payable if undistributed earnings of foreign subsidiaries were paid as dividends to the Company.

The Company made no U.S. Federal tax payments for the years ended December 31, 2003, or December 31, 2002. U.S. Federal tax payments totaling $0.5 million were made for the nine months ended

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS — (Continued)

December 31, 2001. The Company paid state and local income taxes totaling $0.4 million, $0.2 million, and $0.3 million for the years ended December 31, 2003 and 2002, and the nine months ended December 31, 2001, respectively.

The Company made non-U.S. tax payments totaling $3.2 million for the year ended December 31, 2003. There were no non-U.S. tax payments in the year ended December 31, 2002 or the nine months ended December 31, 2001.